



SPX MASTERCLASS

DIESEL TRADES

AREUS ANALYTICS LLC.



OFFICIAL COPY

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Overview

- This class is going to show you how I identify intraday SPX trades.
- The will roughly go on for 2 hours - buckle up. I will allocate time for breaks.
- Taking notes is strongly encouraged, but after the class, this powerpoint is yours.
- Asking questions is encouraged. Please don't hesitate to unmute yourself, or type in the VC. I'll be monitoring at all times.
- No need to record, I'll be recording this class and giving it out after the class.
- Going to recycle the indicator setup from an old class, it'll apply here.



What We're Covering

- Chart Prep
- Utilizing Indicators
- Utilizing indicators concurrently with price action
- Candlestick trading
- Trendline trading
- Anticipating reversals / continuations / consolidation
- SPX Options Straddle
- Using all above topics to identify possible entries
- Maintaining a trade / setting stops / pt levels

INDICATORS AND SETTINGS





Indicators + Settings

Volume



Defined:

- a. Is the amount of an asset or security that changes hands over some period of time**
- b. We mainly want to see the 1-5 minute timeframe. We want to know exactly when the movement comes in.**



Key Takeaways:

- a. TV built-in is fine**
- b. Locate at the bottom of your chart (not the top or below)**
- c. Use to confirm trend-line breaks or retests + wick trade setup**
- d. Don't worry about "color" of volume candles. We just want max volume.**



Indicators + Settings

Exponential Moving Average (EMA)



Defined:

a. measures trend direction over a period of time + calculated with current data (volume + price data)

b. Versus SMA, the calculations are more complex with its calculations. We won't trigger trades off of these alone. We just want trend-bias



Key Takeaways:

a. 13/21 were fine tuned and found via trial and error.

a. 13 / 21 EMAs are used for the strategy. Make sure you confirm the settings.

b. You want the lines THIN with different colors from SMA

c. Look for early curvature to identify reversals. (example later)



Indicators + Settings

Simple Moving Average (SMA)

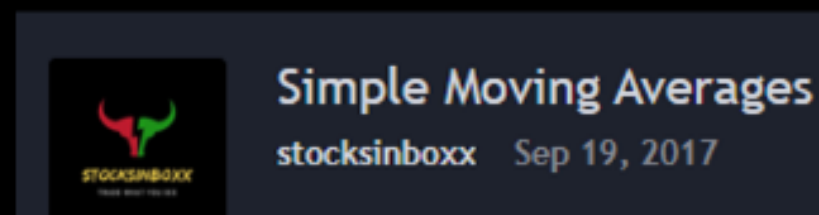


Defined:

- a. The average price over a period of time (excludes significant data)
- b. Versus EMA, this indicator only calculates based off of strictly the price of the past candles.



SMAs	
Inputs	Style
SMA #1	20
SMA Source #1	close



Key Takeaways:

- a. I use the 20SMA candle only.
- a. Make sure the 20SMA candle is THICK and in a color that stands out from rest
- b. This indicator is my trigger indicator based off of entries/exits/stops



Your chart should look like this





Indicators Cont.

- We will utilize those specific indicators because with the way we are going to analyze them, they will help us determine consolidation, contraction, and possible reversal areas.
- These will aid heavily when we find liquidity zones and determine possible entry points.
- The 20SMA + 200SMA are a great trading guide to determine whether you should enter, stop out, or average up/down
- We also can determine crossover zones for momentum driven reversals.
- Solidified MA trends make it easier to see general market direction

TRENDLINE TRADING





Trends

- We don't just play indicators. Don't ever do that. You need to see the full picture which includes price action.
- Price action may be tricky at first, but identifying common trends will get you into the right direction.
- "They're just shapes on the chart" Nah, you're identifying contraction, expansion, and consolidation, with PROVEN support and resistance. Lmao.
- Wedges, Pennants, Flags, and Channels are my favorite, but if you're new to these concepts, stick to one, then branch out as you get comfortable.



Trading Trends

- Same as indicators, you don't just want to nail calls and puts when your trendline gets touched. Yeah probability gets higher here, but you're still playing a losing game.
- The sole purpose of plotting trendlines is to anticipate a breakout and identify entries to either scale in or out.
- I will show you the plotting process on a trend in the next slide.











Trends Final.

- A lot of people plot trends, and play just the trends. Don't do that.
- While plotting a trend, you need to incorporate a multi-level plan before buying.
- When incorporating trends into your strategy, you are looking for entry scenarios, but also scenarios to where you may need to stop out or take profit. THIS IS IMPERATIVE.
- I showed one example, this goes for every formation possible. Stick to simple common ones, we don't need to be plotting no reverse porcupine triple top 3000. Keep it simple.



Trends Final.

- A good indicator a trend may break out is if it's assisted by raising volume into the anticipated breakout sentiment.
- When a breakout occurs initially, it's a good discipline to either stop out or average down if/when the price is to retract back to your trendline.
- Notable trends: Head and Shoulders / Rising + Falling Wedges / Bull + Bear Pennants / Double and Triple Tops + Bottoms / Triangles.
- Don't force a trendline to work in your favor, let it have 3-4 touches. Don't play a 2 touch trend. A good practice is to chart on larger timeframes.

LIQUIDITY LEVELS (PTS)





Liquidity Levels

- You may have seen a bunch of SMC/ICT videos. Its sort of the lines to there, however we don't base our entries off of those. We're already in the trades.
- Liquidity levels are just zones that have strong buyers, or strong sellers that had enough volume to either continue, or reverse an intraday trend.
- When playing a crossover zone, or a trend break, or a simple momentum trade. Your price targets should realistically be these zones, and your stops should be retracements of these zones.



If I were to take puts here, my price targets should be the green lines. The more we break through, the more likely a reversal may come.



Liquidity Levels

- Keeping the terms as simple as possible, we don't want to be heavy, or enter trades that have been proven to pivot in those areas previously.
- A good stop loss may be a liquidity level previous to your entry.
- Example: If you're going for calls or longs, your stop loss could be that bullish liquidity zone below your entry.
- Example 2: Let's say it hits that zone, but your sentiment is still the same, that may be a cue to average down into your position.



Describe this Chart





At a glance, my take on it.



CANDLE STICK TRADING



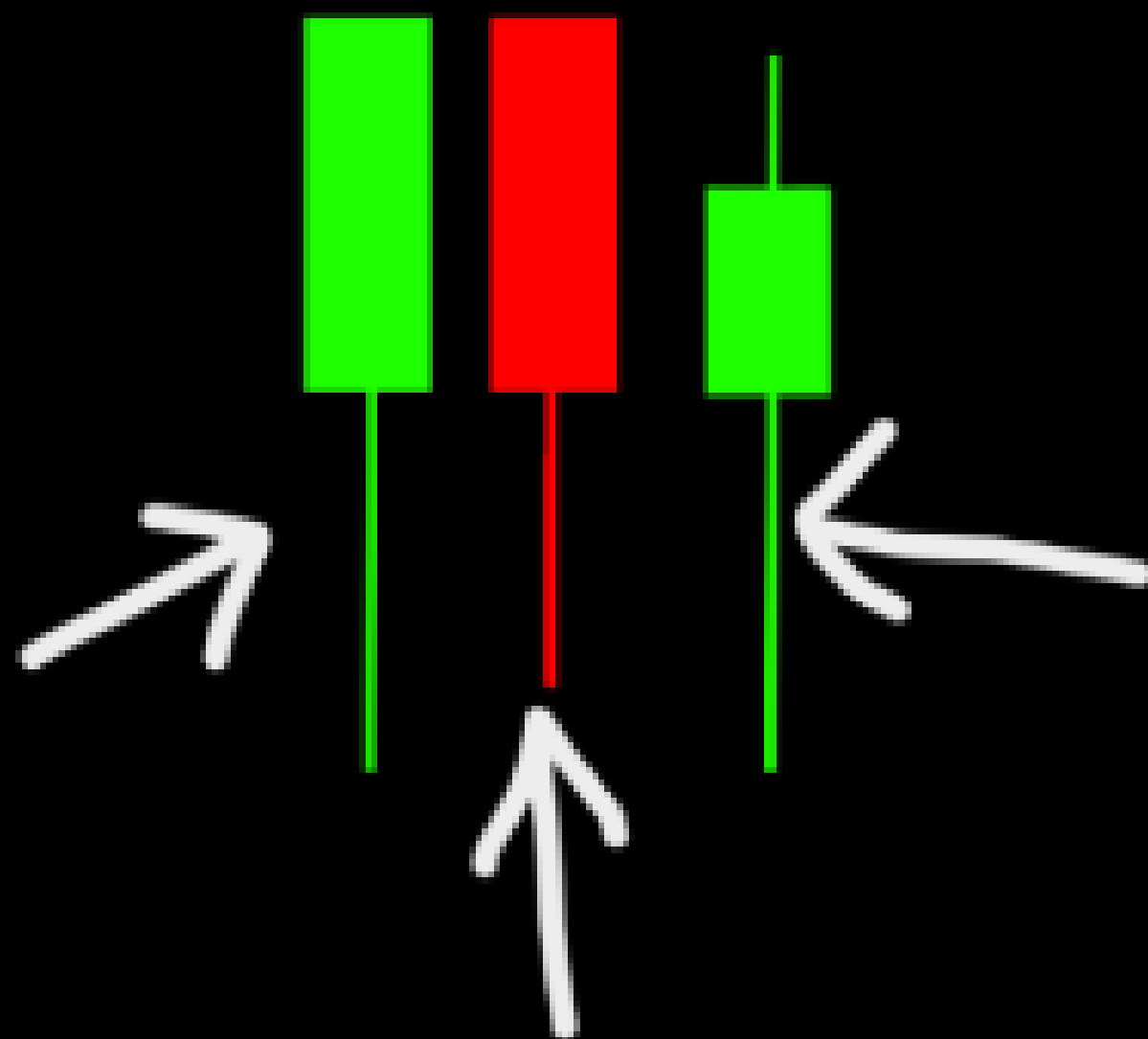


Candlestick Trading

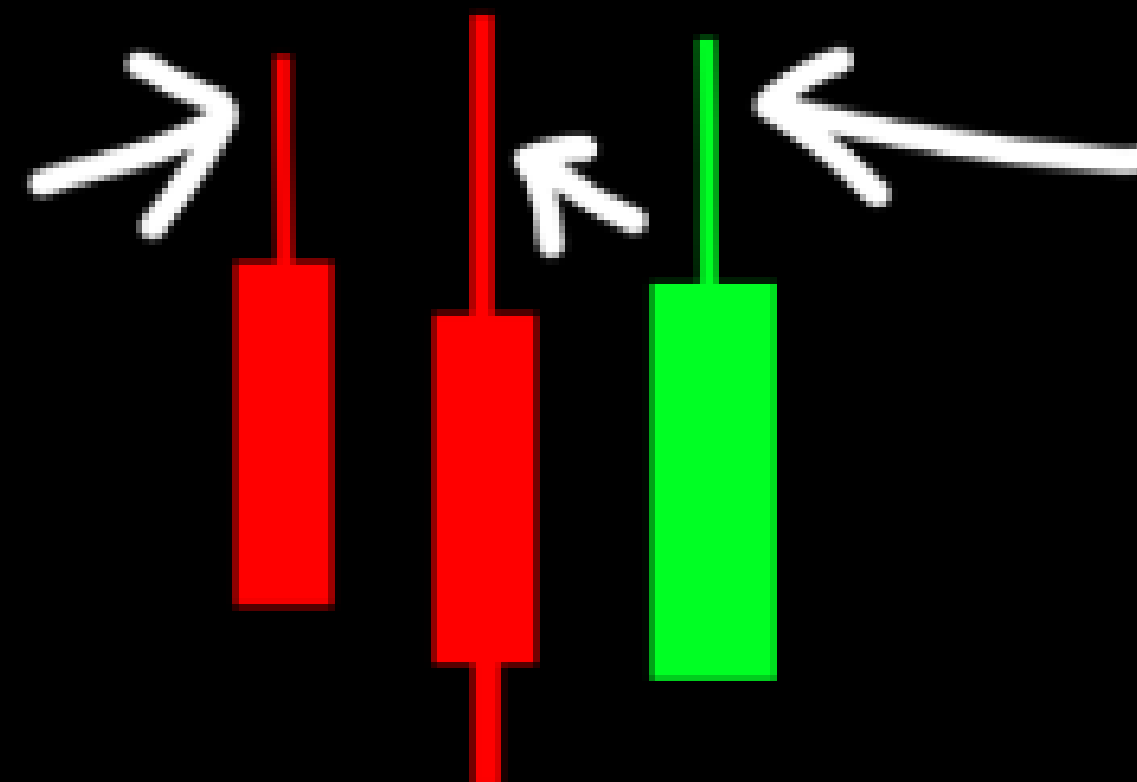
- Yes it's easy to play breakouts, it's easy to catch a wave. But we want to be on the bus before it leaves. How can we do that?
- I like to look for groups of buying and selling wicks that may indicate that a trade may go into my favor.
- Playing these against trendline breaks are typically one of my favorite strategies and provides a large return if identified early enough.
- The more buying/selling candles in a cluster, the stronger the indication of the price to go in that direction.

Candlestick Trading

a. Buying wicks



b. Selling wicks





Peep the selling pressure

Bearish AF!!!





Identify Hints of a Breakout





Candlestick Trading Conclusion

- Watch for clusters, the more that form against your trenlines or crossover zones will result in an earlier entry.
- This does not work on news days.
- If we're chopping or in consolidation, look at your wick clusters. More often than not, that may be the direction your breakout may go.
- Always keep an eye on volume.

MOVING AVERAGE CROSSEOVERS





SMA CROSSOVERS

- So. When the 20SMA rises over (or below) the 13/21 EMAs, it's a strong indication that the current trend is starting to die out which will lead to reversals or consolidation.
- This was an additional strategy I developed, and it works wonders with volatile markets.
- When these crossovers happen with buying/selling wicks, and in a trend, you best believe you have a 5 star setup sitting in your hands.
- Entry trigger can be the first candle above (bullish)/below (bearish) your 20SMA

Blue above the two.

- The 20 SMA rises ABOVE the 13/21 EMA. This is BEARISH.





Blue below the two.

- The 20 SMA rises BELOW the 13/21 EMA. This is BULLISH.



How many entries?





SMA CROSSOVERS

- You want a volatile ranging market, if we are chopping, this strategy may not work the best. Best avoid pre-news days.
- Another Price target strat you can run is playing the crossover, until it crosses over again. Numerous 300%+ plays THIS WEEK because of it.
- Price target is always the 200MA (red line). I treat that as a magnet, or a VWAP whenever I'm making longer intraday trades.
- Profit goals of 10-25% are easily achievable. Make sure you use liquidity levels to scale accordingly.

**MIXING THIS SHIT ALL
TOGETHER**





All Together

- We play the trends, we play the candle sticks, we play the moving average crossovers all at once. Step by step I'll show you how it should all pan out.

Step 1.

- Wait for a trend setup, whether its coming from a price movement, or consolidation point. You want to identify it though.



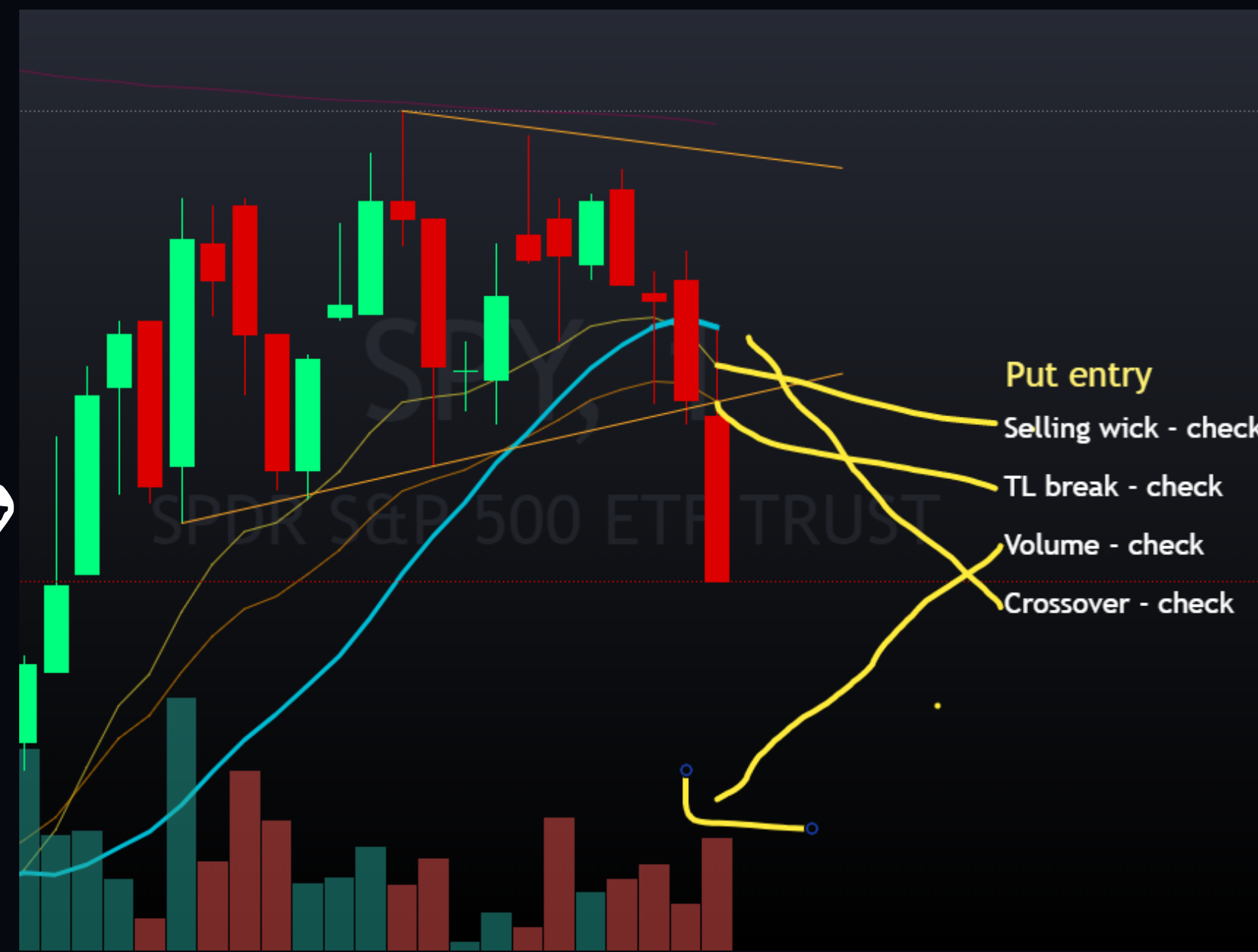
Step 2.

- While your trend is setting up, you're waiting for volume to decrease in the trend you're essentially trading against.



Step 3.

- We play the 20SMA, if not play the trend line break, utilizing the 200MA or liquidity levels as PTs and SLs. Keep your eye on volume.



Step 4. Play it out.

- This is an older example, but i couldn't explain it any better than this.





Other Trade Examples:



Other Trade Examples:



Other Trade Examples:



Other Trade Examples:





Other Trade Examples:



Other Trade Examples:



ALMOST THERE.





Managing Risk

- You think im gonna teach you how to operate this bad ass strat and not look at the options contracts?
- You thought. This is a Diesel Masterclass



You Enter a Trade:

< -30%

-25%

-10%

BE

+10%

+25%

+50%

> +50%

You entered a trade.
Probably watching this like a hawk lol.
Relax.



You Enter a Trade:

< -30%

-25%

-10%

BE

+10%

+25%

+50%

> +50%

You entered a trade too early?
Is it the end of the world?
Is this your max risk tolerance?
Are you realizing that you went too heavy?
Did i make an exit plan?
Ask yourself these questions.



You Enter a Trade:

< -30%

-25%

-10%

BE

+10%

+25%

+50%

> +50%

Was this a bad trade?

Was this a weak setup?

Do I average down or get out?

Don't diamond hand. My typical stop is in this range, even if you think it might play out, there are better cons out there.



You Enter a Trade:



↑ If it gets to this point, re-work your strat.

Never go this low. Thats gambling.

Unless its a super cheap con lol, but know your risky plays versus your typical run of the mill strat.



You Enter a Trade:

< -30%

-25%

-10%

BE

+10%

+25%

+50%

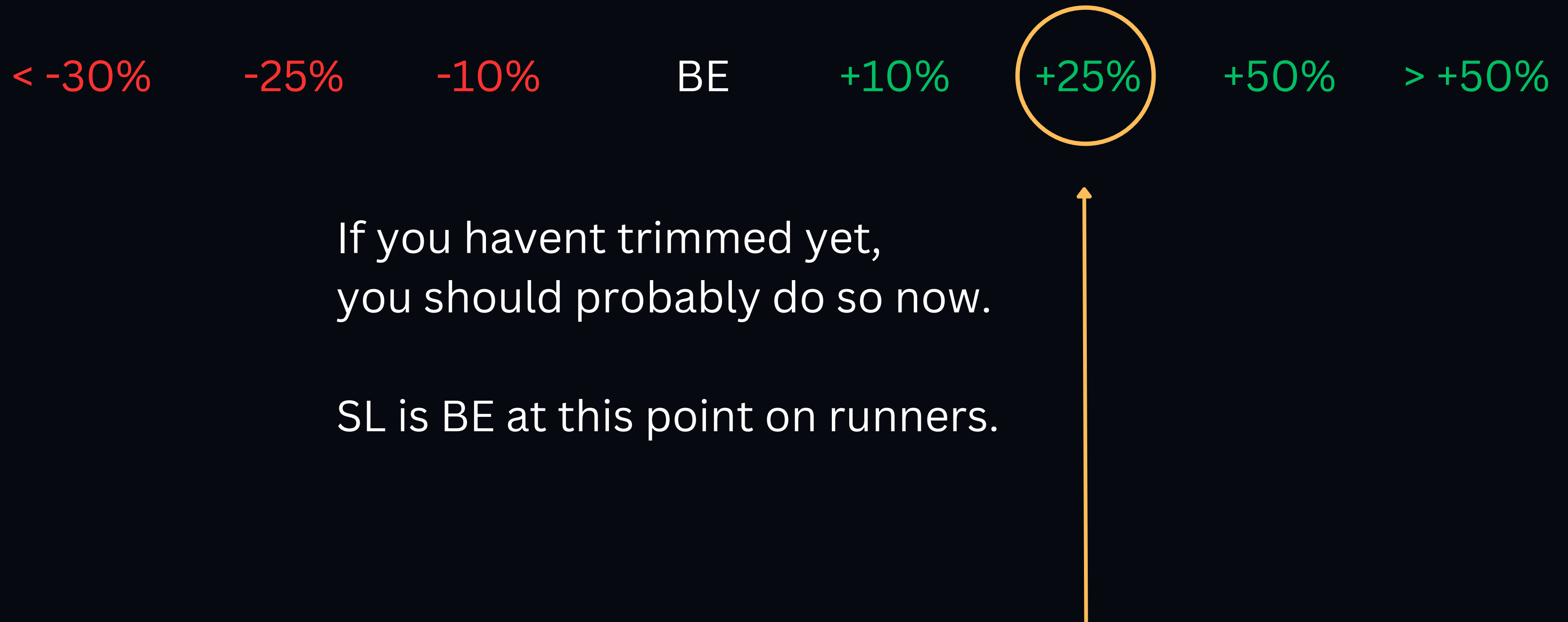
> +50%

Look to take some profits, scale out.

10% may seem like peanuts, but small plays make big days.



You Enter a Trade:





You Enter a Trade:

< -30%

-25%

-10%

BE

+10%

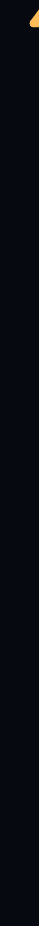
+25%

+50%

> +50%

You shouldn't be more than
1/3-ish of your position.

Good trade!





You Enter a Trade:

< -30%

-25%

-10%

BE

+10%

+25%

+50%

> +50%

GG. Play with the strat as you go.

Don't feel invincible, do this again
next trade.



OPTIONS STRADDLE SCREENSHOT AFTER RECORDING.



**ANY QUESTIONS?
LIVE DEMO NEXT.**

